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BASEL INSTITUTE ON
GOVERNANCE



MIM IMMERSIVE INSIGHTS

HOW TO BUILD GOOD GOVERNANCE AND COMPLIANCE PRACTICES IN SMALL AND MEDIUM-SIZED ENTERPRISES



29 July 2026, Wednesday



3.00 pm – 4.30 pm



Zoom Webinar



Ms. Lucie Jones

Senior Specialist, Governance
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Governance

The background of the slide is a solid orange color. Overlaid on this is a faint, semi-transparent image of a hand holding a small plant with several leaves. Scattered around the plant are several dark orange squares, some of which appear to be floating or falling. A small white mouse cursor is visible near the center of the slide, pointing towards the plant.

Building good governance and compliance practices in Small and Medium Sized Enterprises | Lessons from global best practice

Lucie Jones | 29 July 2026

Basel Institute's areas of work

We uncover the **root causes** of corruption, create **innovative tools** for prevention and assist partners in implementing successful **anti-corruption strategies**.

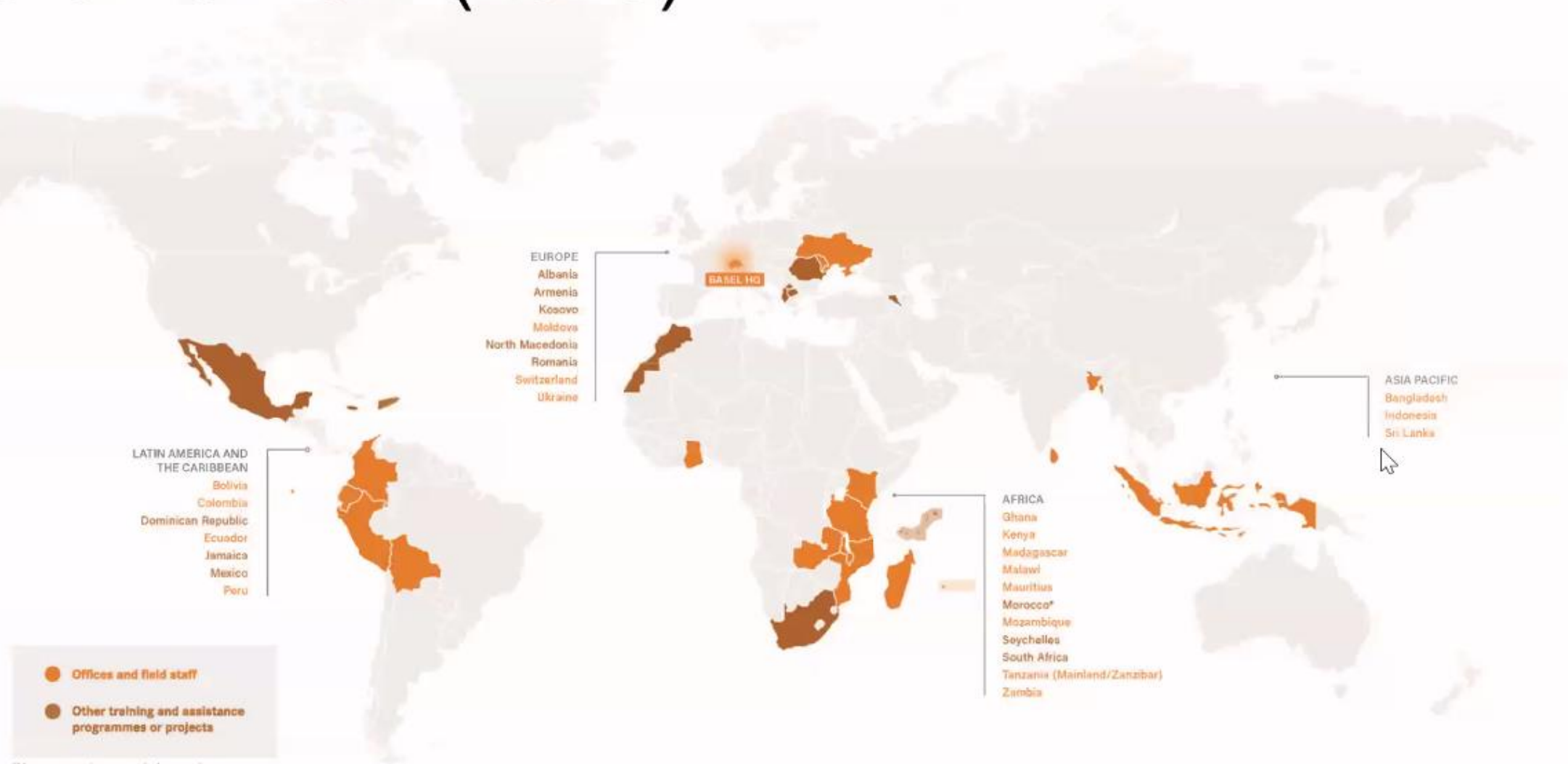
We **empower, enable and connect practitioners** to collectively address corruption as an obstacle to progress on the **environment, security** and other **global challenges**.



We help to build the **enforcement capacity and systems** needed for countries to effectively investigate corruption and **recover illicit funds**.

We support the development of **resilient, ethical companies and business environments** characterised by integrity, transparency and fair competition.

Where we work (2026)



*Map source: minisro.unmissions.org/map

**Would organisations still
choose good governance
if nobody required it?**

Every organisation has governance

Governance exists wherever people come together to pursue a common objective.



A football team

Someone decides who plays, sets the strategy and manages resources.



A student society

Someone decides how money is spent, which activities are organised and how decisions are made.



A family business

Someone decides who is hired, who is promoted and how resources are allocated.



A project team

Someone decides priorities, allocates tasks, manages risks and resolves challenges.



A company

Someone decides strategy, sets objectives, uses resources and oversees performance.

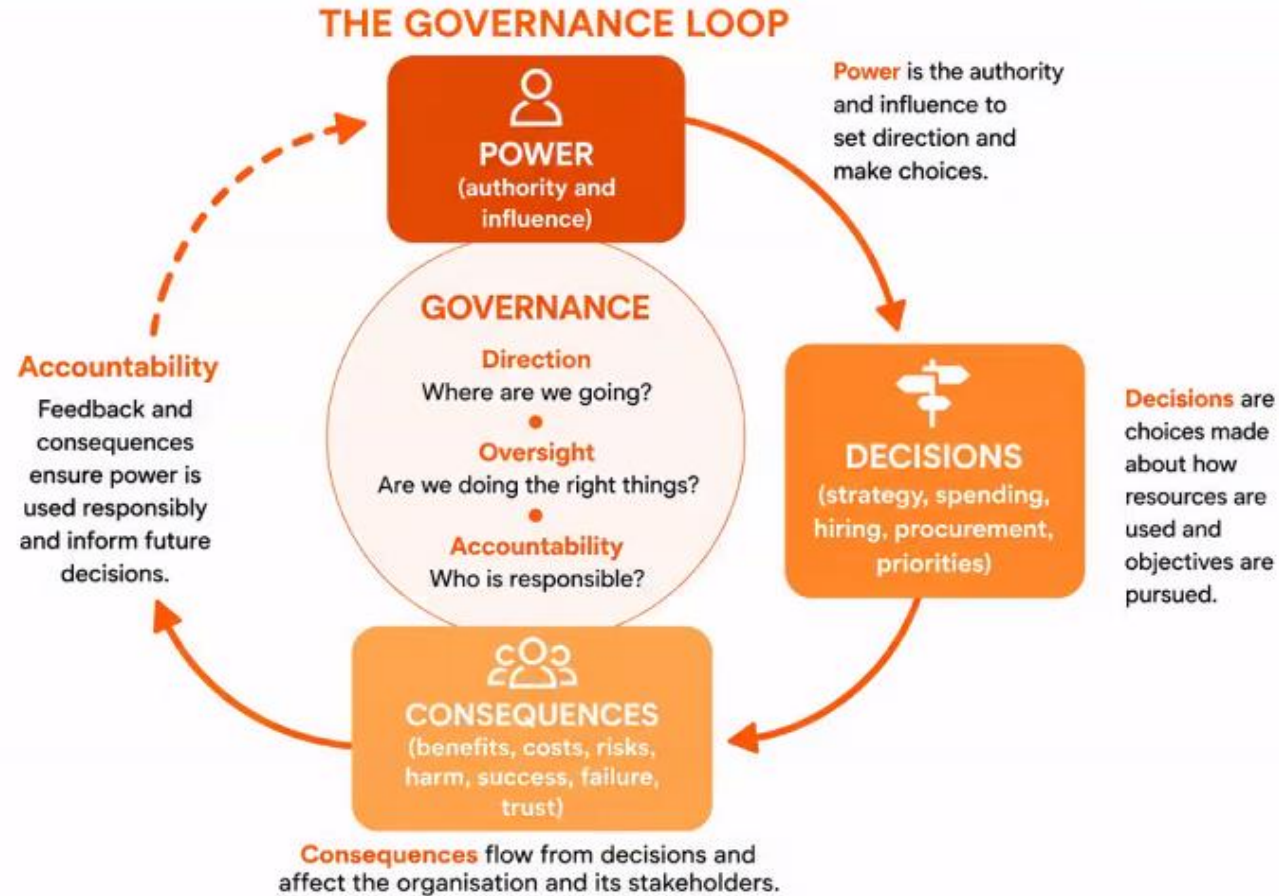


The question is not whether governance exists.

The question is whether decisions are being made clearly, fairly and effectively.

What is governance?

Governance = How power is exercised



Good governance keeps power, decisions and consequences connected.
It ensures that those who have power remain accountable for the outcomes of their decisions.

Company scandals are often governance failures

When governance is weak, power can go **unchecked**, poor decisions can go **unchallenged** and the consequences can be **devastating**.



Enron

Once among the world's most innovative companies, collapsed in 2001.

What went wrong?

-  No independent oversight
-  Conflicted auditors
-  Hidden debt and misleading reporting

theranos

Theranos

A health tech "breakthrough" that was built on false claims, not science.

What went wrong?

-  Founder control with no challenge
-  Lack of board oversight and expertise
-  Culture of secrecy and fear

wirecard

Wirecard

A fast-growing payments firm that collapsed after €1.9 billion vanished.

What went wrong?

-  Weak internal controls
-  Ineffective supervision
-  Audit failures and delayed action



FTX

A cryptocurrency giant that imploded in days, wiping out billions.

What went wrong?

-  Concentration of power
-  No segregation of duties
-  Poor risk management and oversight



Strong governance is not just about rules.

It's about how power is used, how decisions are made, and who is held accountable.

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What is compliance?



Compliance = Following laws, regulations, standards, policies and commitments

THE SOURCES OF COMPLIANCE



Laws

What we **must** do.

Examples

- Anti-corruption laws
- Employment law
- Data protection law



Regulations

What regulators **require**.

Examples

- Financial regulations
- Health & safety requirements
- Sector-specific requirements



Policies

What we expect of **ourselves**.

Examples

- Code of Conduct
- Conflict of Interest Policy
- Gifts & Hospitality Policy



Standards

What **good practice** looks like.

Examples

- ISO 37001
- ISO 37301
- Industry standards



Commitments

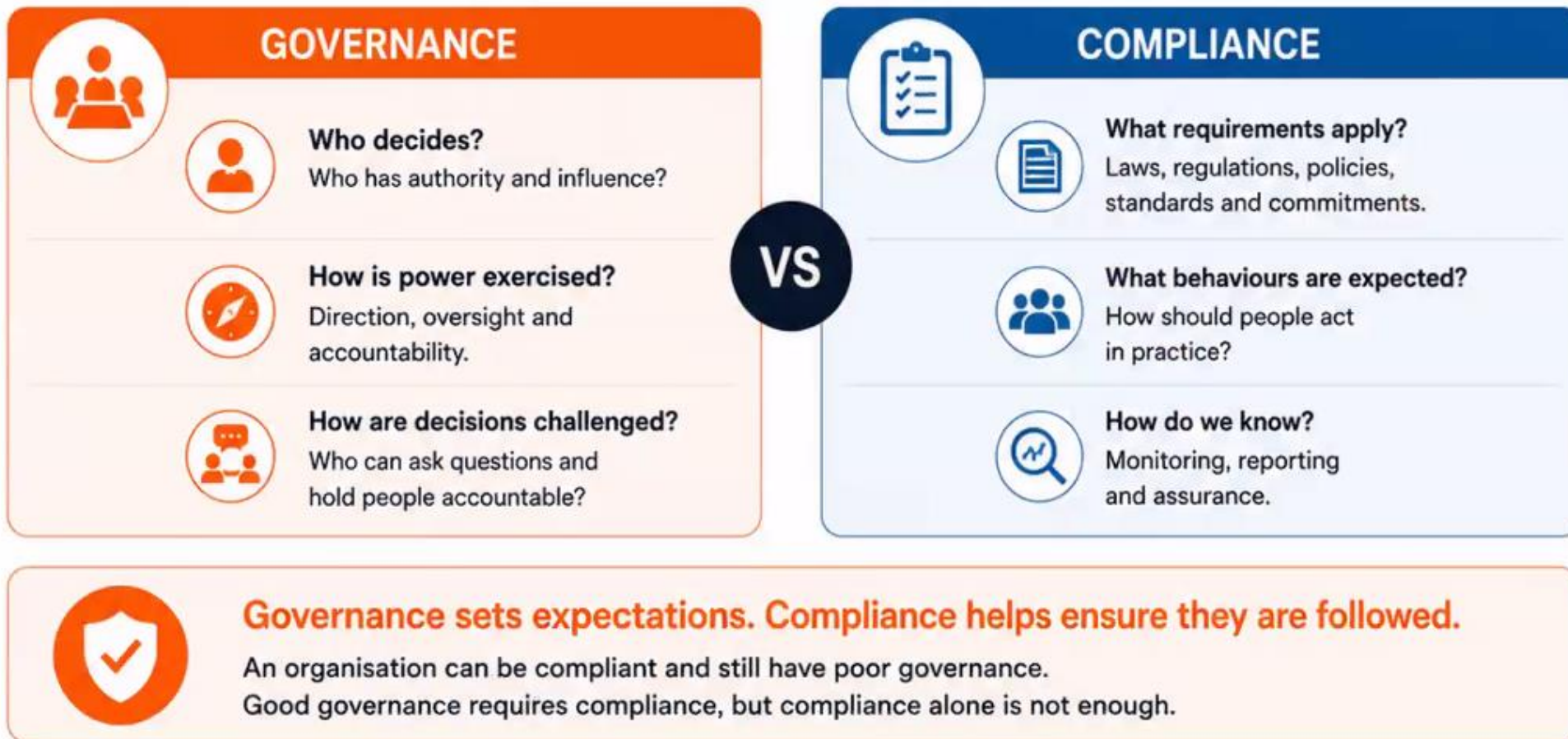
What we have **promised others**.

Examples

- Contracts
- Supplier requirements
- Sustainability commitments

What is compliance?

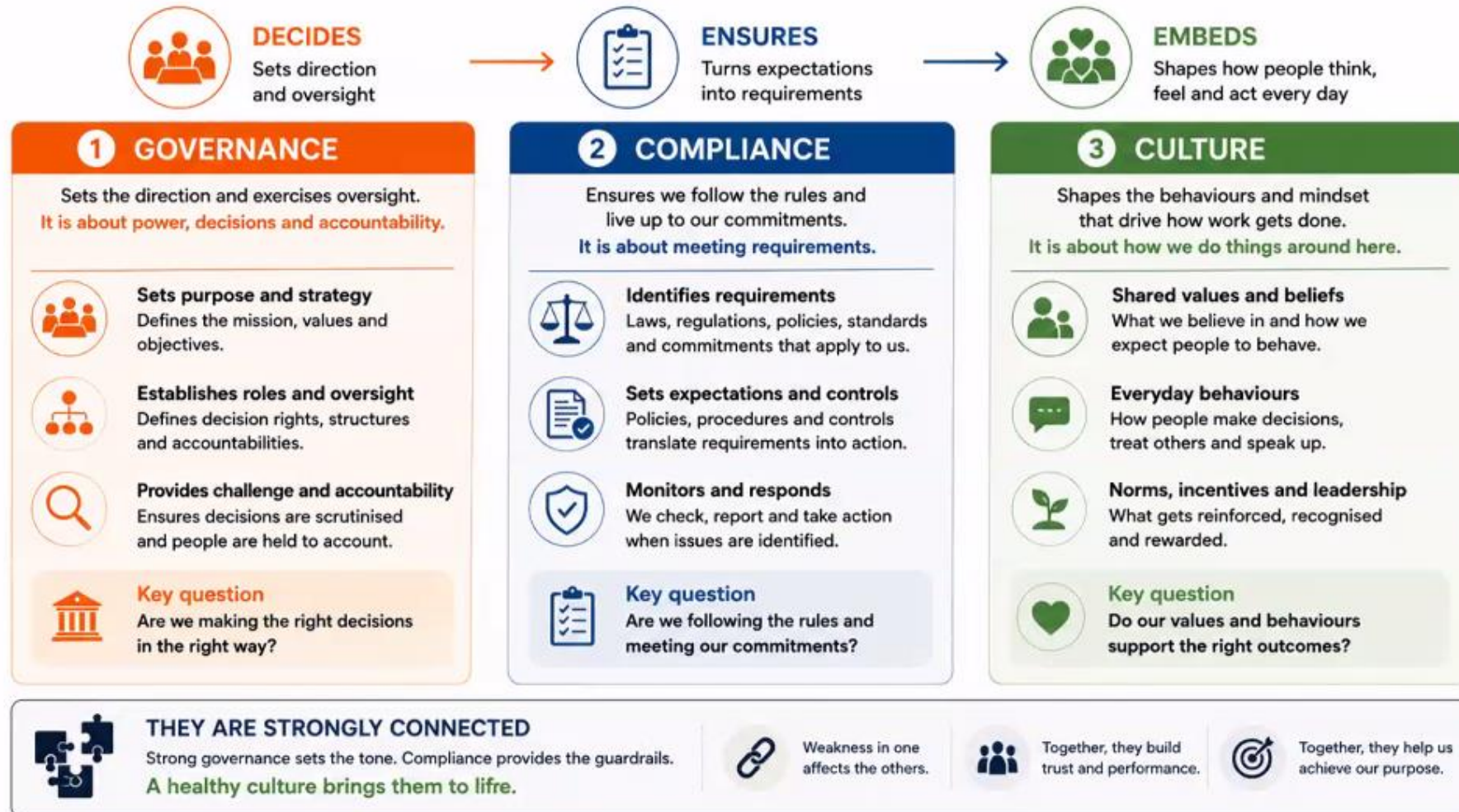
GOVERNANCE vs COMPLIANCE



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Governance, compliance & culture

Three connected elements that work together to build integrity and achieve results.



Global best practice: strong consensus



WHY THIS MATTERS

Despite different mandates and audiences, leading global institutions **converge** on a common set of governance principles that drive effective, accountable and responsible organisations.



This is not a regulatory preference.
It is a shared view of what
good governance looks like.

DIFFERENT PERSPECTIVES, COMMON PRINCIPLES



OECD

Focus: promoting better policies for better lives through standards and guidelines.



UN

Focus: peace, human rights, sustainable development and responsible business.



MULTILATERAL DEVELOPMENT BANKS AND OTHER IFIs

Focus: ending poverty, driving development impact and managing risk.



ISO

Focus: developing international standards for management systems and organisational effectiveness.

GLOBAL CONSENSUS

CORE GOVERNANCE PRINCIPLES



LEADERSHIP

Strong leadership and accountability set the tone and drive integrity.



RISK

Understand and manage risks to achieve objectives and create value.



CONTROLS

Design and implement effective controls to prevent, detect and respond.



REPORTING

Report accurate, timely and relevant information to inform decisions.



MONITORING

Monitor and review performance and improve continuously over time.



These principles are reflected in global references and frameworks, including:



OECD Guidelines for Multinational Enterprises



An Anti-Corruption Ethics and Compliance Programme for Business: A Practical Guide (Second Edition) (UN)



World Bank SME Governance Guidebook

Best practice principles

1. Leadership matters more than policy
2. Risk matters more than bureaucracy
3. Culture matters more than controls
4. Transparency creates accountability
5. People must be able to speak up
6. Governance is never finished

Challenges for Small and Medium Sized Enterprises (SMEs)

1. Who makes decisions?
2. Conflicts of interest
3. Managing risk
4. Appropriate controls
5. Speaking up
6. Transparency
7. Commitment to governance during growth



SME GOVERNANCE CHECKLIST

Good governance doesn't have to be complex. Start with the essentials.

These seven essentials help SMEs make better decisions, manage risks, build trust and achieve sustainable success.



Good governance helps SMEs make **better** decisions, manage risks and achieve **sustainable** success.

ESSENTIAL AREA	ASK YOURSELF	PRACTICAL ACTIONS TO CONSIDER	WHY IT MATTERS
1 CLEAR DECISION-MAKING	Are roles, responsibilities and decision rights clear?	- Define who decides what and how decisions are made. - Document key decisions and keep a simple decision log.	Clear decisions lead to focus, accountability and better outcomes.
2 CONFLICT MANAGEMENT	Do we identify and manage conflicts of interest?	- Have a conflict of interest policy and disclosure process. - Review and manage conflicts regularly.	Managing conflicts protects integrity, reputation and stakeholder trust.
3 RISK AWARENESS	Do we understand the key risks facing our organisation?	- Identify key risks (strategic, operational, financial, integrity). - Review and discuss risks at least annually.	Understanding risks helps us prioritise, prepare and seize opportunities.
4 APPROPRIATE CONTROLS	Do we have the right controls in place to manage risks?	- Implement simple, proportionate controls. - Ensure someone is responsible for them.	Good controls prevent problems, protect resources and support consistent performance.
5 SPEAK-UP CULTURE	Can people raise concerns safely and without fear?	- Communicate how people can speak up. - Act on concerns and protect confidentiality.	A speak-up culture helps identify issues early and builds a safe, respectful workplace.
6 TRANSPARENCY	Are we open and honest in our communications and reporting?	- Provide clear, accurate and timely information. - Be transparent with stakeholders.	Transparency builds trust, strengthens relationships and supports good decisions.
7 CONTINUOUS IMPROVEMENT	Do we learn and improve over time?	- Review what works and what doesn't. - Make improvements and track progress.	Improvement drives resilience, adaptability and long-term success.



GOOD GOVERNANCE IS EVERYONE'S RESPONSIBILITY.
Small steps today make a big difference tomorrow.

THE BENEFITS OF STRONG GOVERNANCE



Better decisions
Make confident, informed choices.



Lower risks
Anticipate problems and avoid surprises.



Stronger trust
Build confidence with stakeholders.



Greater resilience
Adapt, recover and keep moving forward.



Sustainable success
Create long-term value for your business.

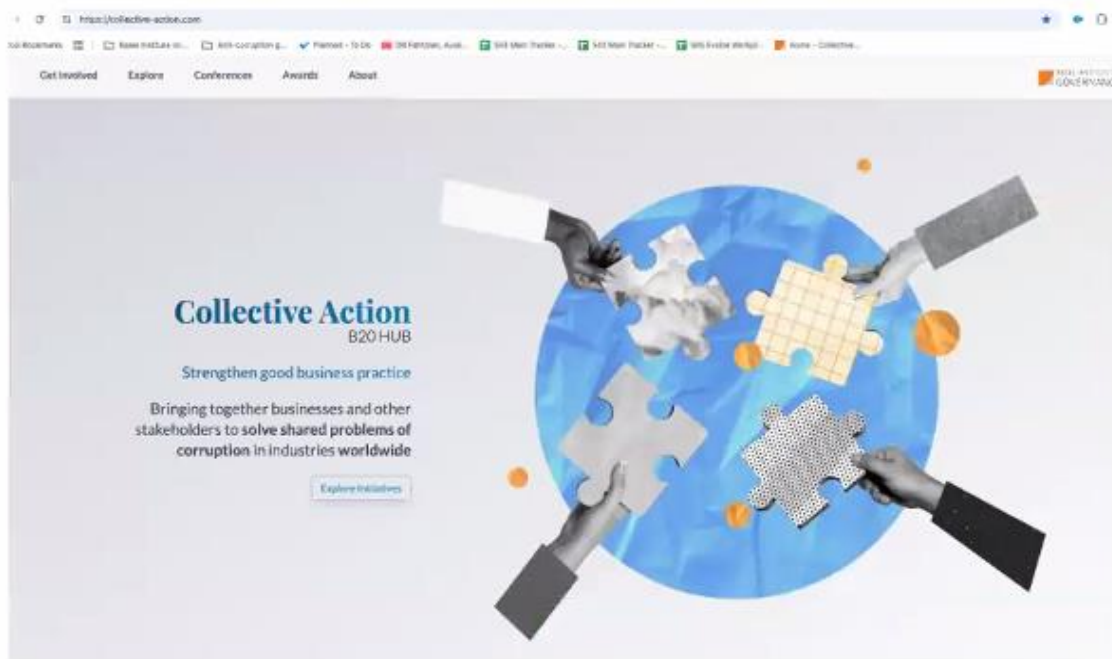


This checklist is a starting point, not a tick-box exercise. **Focus on what matters most for your business and take one step at a time.**

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The limits of individual governance

Collective Action: Collaboration to address shared integrity challenges



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